

INVESTING WISELY IN CAPITAL MARKET

Soch Kar, Samajh Kar, Invest Kar

IMPORTANT STEPS OF FINANCIAL HEALTH

- Take term life cover for 10 times for annual income
- Take family health floater for your family needs
- Maintain emergency funds equal to 3 times expenses
- Avoid combining investment product & insurance.
- Don't choose product for tax benefits alone. They have to fit in with your goals

And then...



TEST YOUR UNDERSTANDING

If you are 45 years old and your daughter is 15 years and son is 17 years old. (you can choose more than one)

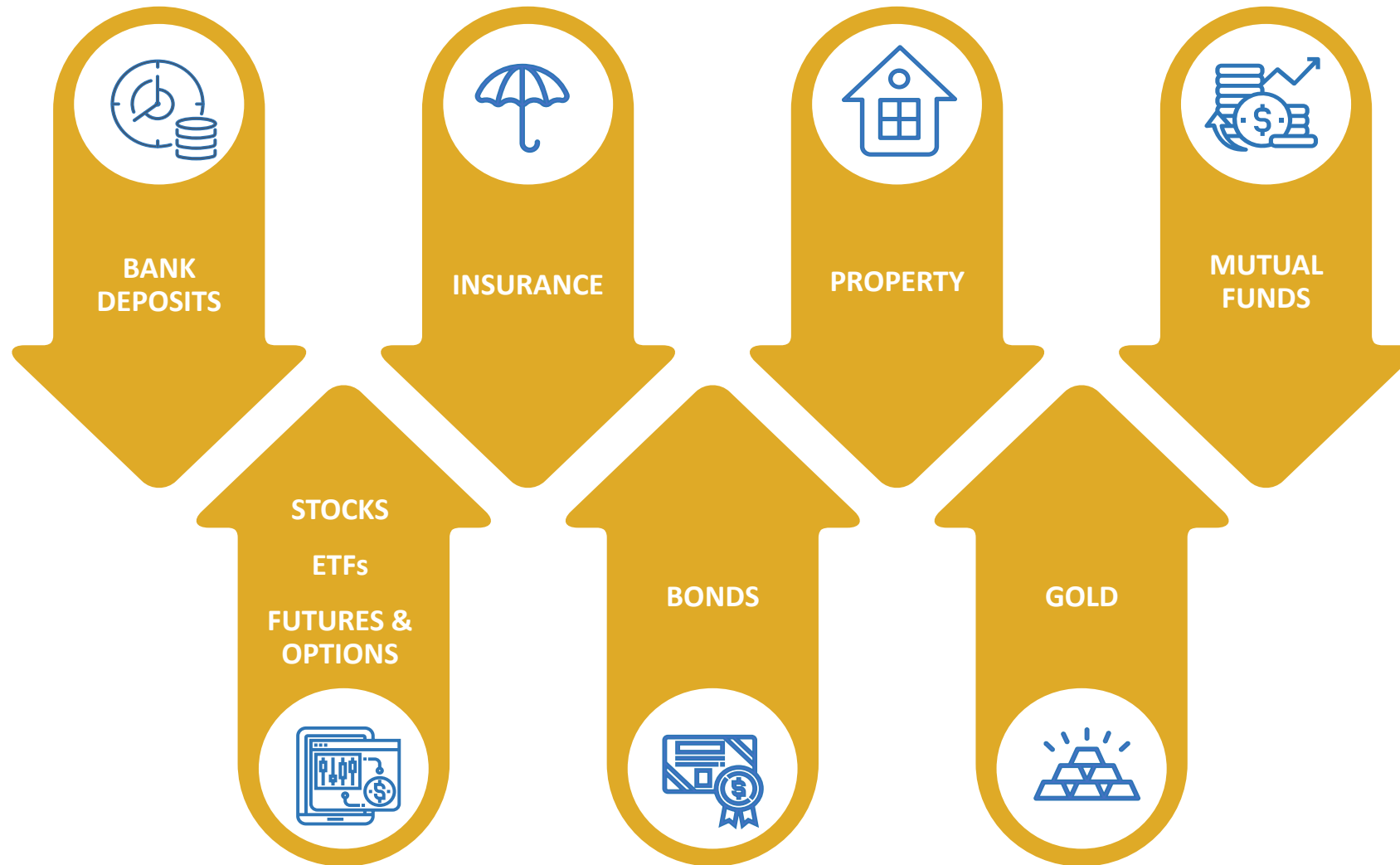
Q1. Which of these will be your short term goals ?

A)Retirement B)Education C)Vacation D)Marriage

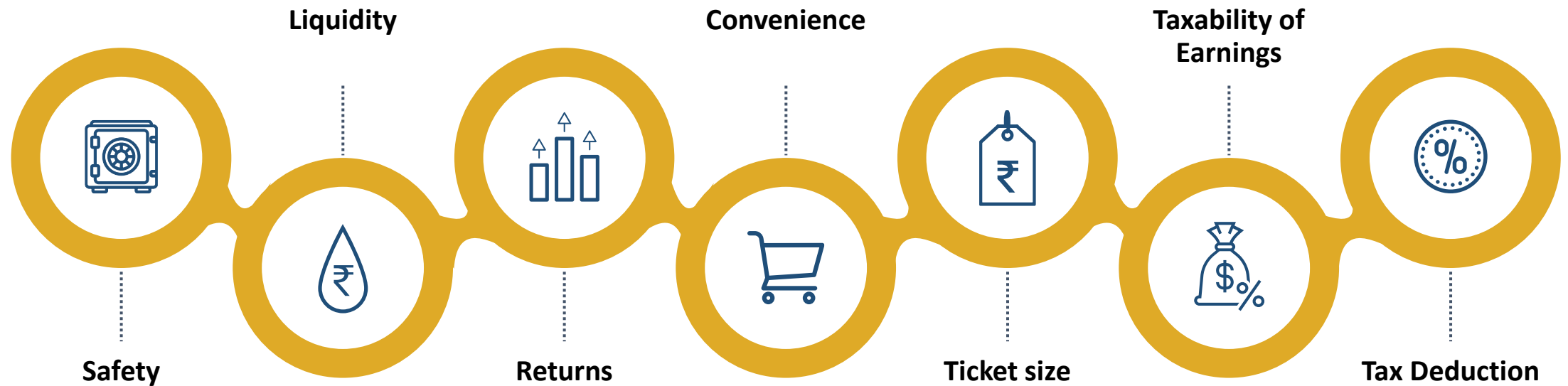
Q2. Which of these will be your long term goals ?

A)Retirement B)Buying House C)Vacation D)Marriage

INVESTMENT OPTIONS



FACTORS TO EVALUATE INVESTMENTS



BASIS OF INVESTMENT ALLOCATION

Ability and Willingness to Take Risks

Life Cycle of The Investor

Liquidity Needs

Goals

Time

Tax Slab of the Investor

KNOW YOUR INVESTMENT PATTERN

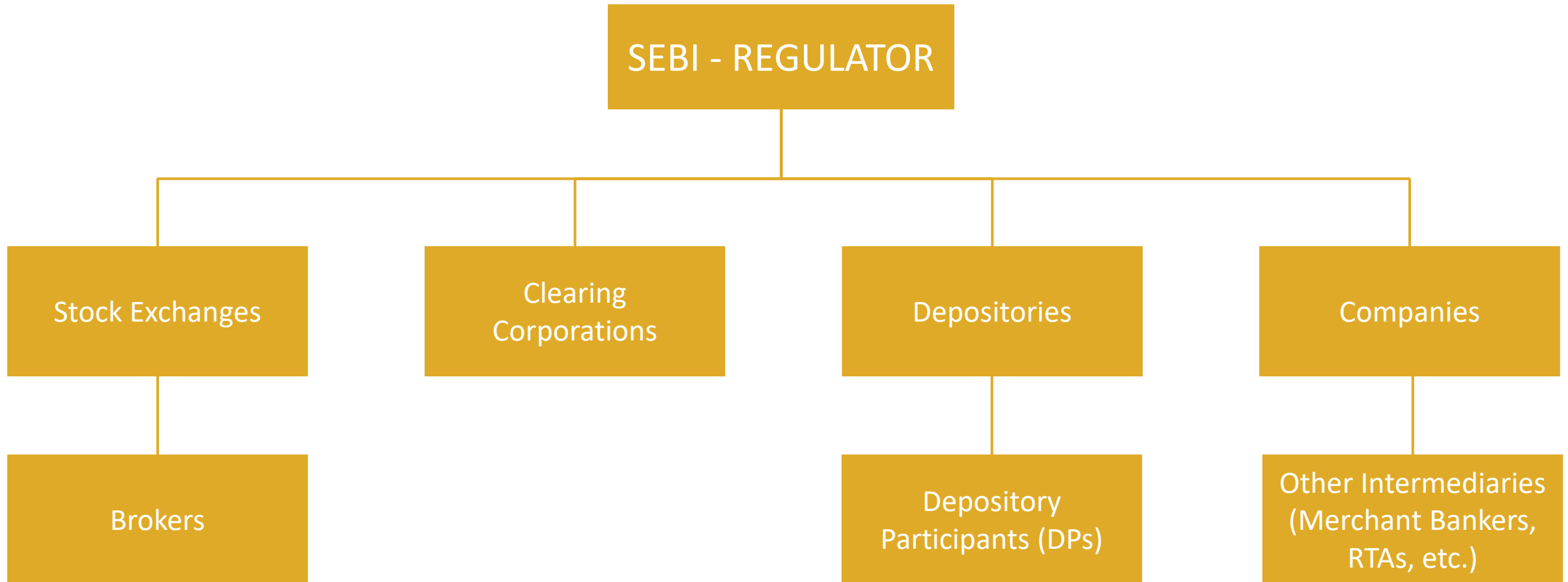
Q. I am interested in investing in -

- A) Stock alone
- B) Bond alone
- C) ETFs alone
- D) Futures & Options alone
- E) Combination of above

Q. For which goal you want to invest in Capital market?

- A) Short term
- B) Long term
- C) Medium term
- D) All of them

STRUCTURE OF SECURITIES MARKET



PRE REQUISITES OF TRADING IN SECURITIES MARKET



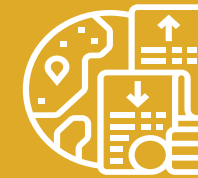
Savings Bank Account

in any bank and used for transfer / receipt of funds for buying / selling of securities



Demat Account

With a SEBI registered Depository Participant (DP) and is used to hold securities in electronic form

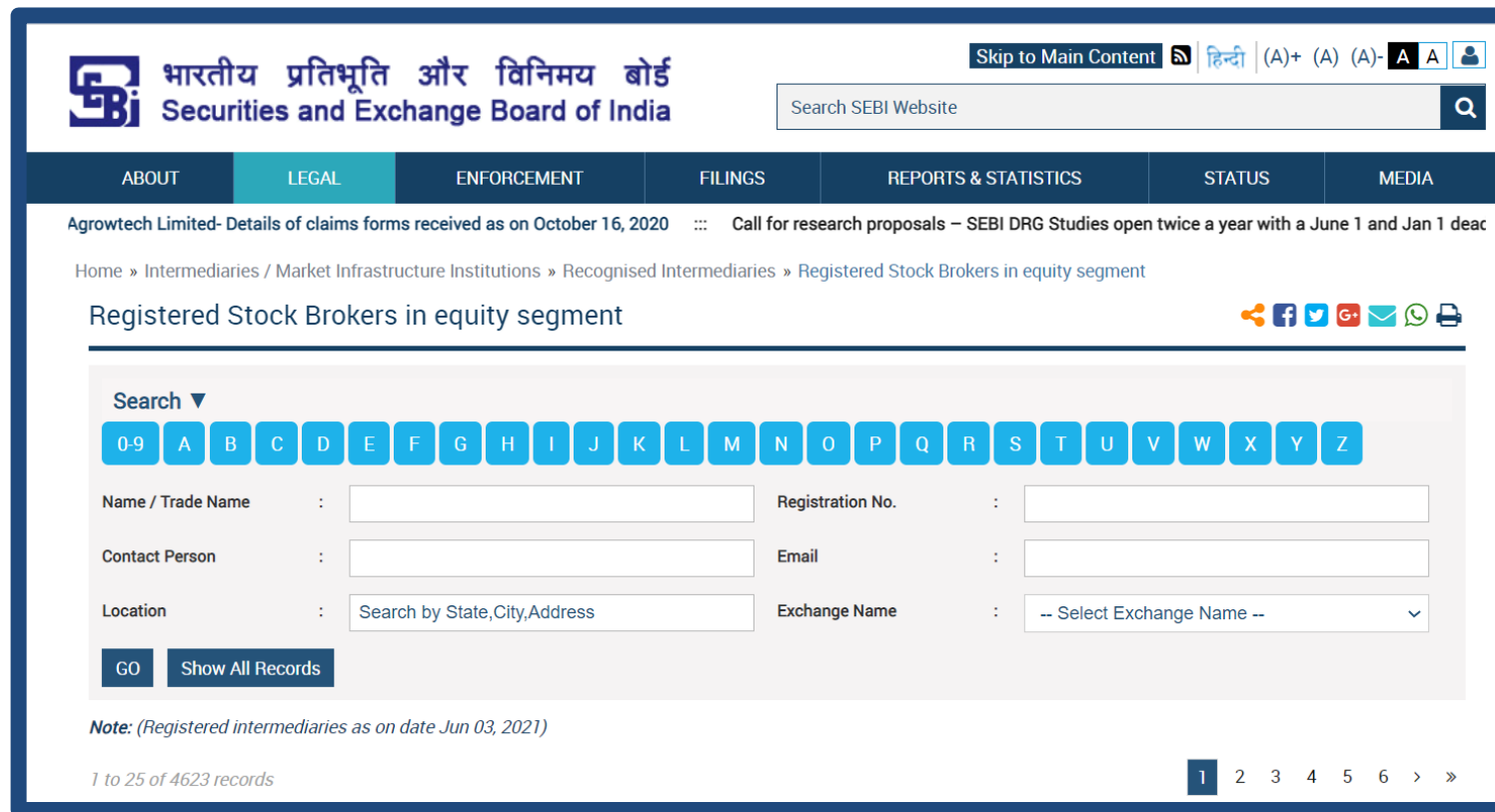


Trading Account

With a SEBI registered Trading Member (TM) and is used to buy and sell securities

HOW TO SELECT A BROKER

- One can verify whether the stock broker is SEBI registered or not on SEBI Website
- <https://www.sebi.gov.in/sebiweb/other/OtherAction.do?doRecognisedFpi=yes&intmId=30>



The screenshot displays the SEBI (Securities and Exchange Board of India) website interface. At the top, the SEBI logo and name are visible in Hindi and English. A search bar is present with the text 'Search SEBI Website'. Below the header, a navigation menu includes links for ABOUT, LEGAL, ENFORCEMENT, FILINGS, REPORTS & STATISTICS, STATUS, and MEDIA. The main content area shows a breadcrumb trail: Home » Intermediaries / Market Infrastructure Institutions » Recognised Intermediaries » Registered Stock Brokers in equity segment. The title 'Registered Stock Brokers in equity segment' is prominently displayed. Below this, there is a search section with a dropdown menu for 'Search' and a row of buttons for letters A through Z, along with a '09' button. A form with six input fields is provided: 'Name / Trade Name', 'Registration No.', 'Contact Person', 'Email', 'Location' (with a placeholder 'Search by State,City,Address'), and 'Exchange Name' (with a dropdown menu). At the bottom of the form are 'GO' and 'Show All Records' buttons. A note at the bottom states: 'Note: (Registered intermediaries as on date Jun 03, 2021)'. The footer shows '1 to 25 of 4623 records' and a pagination bar with numbers 1 through 6 and navigation arrows.

HOW TO SELECT A BROKER

- Check for any pending complaints / regulatory action against the broker by SEBI or exchanges
- Brokerage and Other Key Charges – are there any Hidden Charges
- Customer Services - Range of Facilities Offered
- Trading Platforms Offered
- Advisory & Research Facilities
- Tools for Education/Learning
- Offline/Local Branches Availability

FORMS TO BE FILLED FOR OPENING TRADING & DEMAT ACCOUNT

- A new investor has to register with a Stock Broker through whom the trades are executed on the Exchange.
- The investor needs to fill two forms for Opening of Trading & Demat Account :

1. Know Your Client (KYC) Form: To provide basic information of the new investor.

Two modes for KYC are :

- Physical KYC
- e-KYC (online KYC)

2. Account Opening Form: Details of various services and charges being applied on the new investor.

POWER OF ATTORNEY (PoA)

- Gives authority to Stock Broker to debit shares from Demat account of the client.
- **3-in-1 account- PoA:**
- Sell Trades : Authorization to debit shares from Demat account.
- Buy Trade : Authorization to debit linked Bank account (when investor adds funds to his trading account i.e. for payment of margin / payout of funds of purchase of shares).
- A valid PoA must be 'franked' (i.e stamped).
- Investor must send the printed copy of the filled PoA form to the Stock Broker.
- Investor may also give his consent to a temporary PoA at the time of login to his trading account → This is valid only during that particular login session.
- **Alternative Mode:**
- Transfer funds to Designated Account of Stock broker via Cheque / Online Fund transfer.
- Place delivery sell instructions by using the physical DIS slip / TPIN E-DIS (CDSL) / SPEED-e (NSDL)

POWER OF ATTORNEY (PoA)

- Gives the broker the right to handle client's shares.
- An optional document.
- Should not be insisted upon by the stockbroker/ depository participant (DP) for opening of the client's account.
- Margin obligations to be given in the form of securities by investors will be by way of pledge / repledge in the depository system..

TEST YOUR UNDERSTANDING

Q. Signing of Power of Attorney (PoA) is _____

- Voluntary
- Compulsory
- Brokers' Discretion
- Only for investors above 2 lacs investments

CONTENTS OF WELCOME KIT FOR NEW TRADING AND DEMAT ACCOUNT

Client Profile sheet (For Trading Account)

- Trading Account number / Unique Client Code (UCC).
- User Name / CRN Customer Relationship Number (CRN).
- Relationship Manager & Dealer's details.
- Stock Broker Branch address and designated phone number to place trades.
- Linked (Registered) Bank & Demat account.
- Brokerage applied on your trading account.
- Contact details for lodging complaints and grievances.

Password for Online Login

- Used to trade, verify transactions, check account details.
- Given in a sealed envelope.
- Used to activate the Online account and update the password.

CONTENTS OF WELCOME KIT FOR NEW TRADING AND DEMAT ACCOUNT

Client master (For Trading Account)

- Depository Account number.
- Details of Nominee.
- Correspondence address and contact details.
- Linked (Registered) Bank account.
- Brokerage addendum, if applicable.

Delivery Instruction Slip (DIS) Booklet

- To transfer shares from one account to another by
- Submitting duly filled printed copies of DIS to Branch of Stock broker and fulfilling all trade obligations.

Stock Broker may provide the Welcome Kit by Post/ Email.

COMMUNICATIONS SENT TO INVESTOR FROM EXCHANGE

- Welcome email to new investors.
- Free of charge SMS and email alerts for any trading / transaction activity that would happen in their trading and demat account.
- Monthly balances available with the Stock Broker:
- End of day fund balances.
 - End of day securities balances.
 - Details of securities pledged and funds raised.

What should investors do if they receive SMS/Email alert for trades not authorised by them?

- In such cases investors should immediately take up the matter with their stock broker for clarification.
- If the investor is not satisfied with the explanation, they can take up the matter with Exchange

CONTRACT NOTE

- Contract Note is an evidence of the trade done by the investor through stock broker. Stock Broker has to issue contract notes within 24 hours of execution of trades on the exchange
- Should be signed by the authorized signatory of the stock broker.
- Should be in the format prescribed by SEBI and the stock exchanges.
- Must contain the unique client code and PAN of the client.
- Must contain the name, address and SEBI registration number of the trading member.
- Must contain details of trade:
 - order number and order time
 - trade number and trade time
 - security name, quantity and price
 - Brokerage
 - settlement number
 - details of any other levies, such as securities transaction tax (STT), goods and services tax (GST) on the brokerage or any penalties.



Consent for Electronic Contract Note (ECN)

☐ **C. CONSENT FOR ELECTRONIC CONTRACT NOTE (ECN) - DECLARATION (VOLUNTARY)**

I, _____, Client Code _____,
PAN _____, Registered with you as a client of Multi Commodity Exchange of India Ltd (MCX), and/or
National Commodity & Derivative Exchange Ltd (NCDEX), undertake as follows:

- I am aware that the Member has to provide physical contract note in respect of all the trades placed by me unless I myself want the same in the electronic form.
- I am aware that the Member has to provide electronic contract note for my convenience on my request only.
- Though the Member is required to deliver physical contract note, I find that it is inconvenient for me to receive physical contract notes. Therefore, I am voluntarily requesting for delivery of electronic contract note pertaining to all trades carried out/ordered by me.
- I have access to a computer and am a regular internet user, having sufficient knowledge of handling the email operations.
- My email id is _____ (the email id must be written in own handwriting). This has been created by me and not by someone else.
- I am aware that this declaration form should be in English or in any other Indian language known to me.
- I am aware that non-receipt of bounced mail notification by the member shall amount to delivery of the contract note at the above e-mail ID.

[The above declaration has been read and understood by me. I am aware of the risk involved in dispensing with the physical contract note, and do hereby take full responsibility for the same]

Verification of the client signature done by,
Authorised Signatory of Member 

Designation: _____
Date: DD / MM / YYYY _____

Client Signature 
Date: DD / MM / YYYY _____
Place: _____

Investor should opt for ECN only if comfortable with using email.

- Electronic Contract Notes (ECNs) may be sent to a client by email only on the consent of the client.
- ECNs are required to be digitally signed, tamper-proof and password protected.

Settlement of funds

PLEASE TICK WHICHEVER IS APPLICABLE

☒ **A. CLIENT DECLARATION - OPEN INTEREST POSITION**

I/We, the undersigned, have taken cognizance of circulars issued by SEBI / Commodity Exchanges from time to time on the guidelines for calculation of net open positions permitted in any commodity and I/we hereby undertake to comply with the same.

I / We hereby declare and undertake that I / we will not exceed the position limits prescribed from time to time by Commodity Exchanges or SEBI and such position limits will be calculated in accordance with the circulars on position limits as modified from time to time.

I/We undertake to inform you and keep you informed if I / any of our partners / directors / karta / trustee or any of the partnership firms/companies / HUFs / Trusts in which I or any of above such person is a partner / director / karta / trustee, takes or holds any position in any commodity forward contract / commodity derivative on Exchanges through or through any other member (s) or Exchanges, to enable you to restrict our position limit as prescribed by the above referred circular of Exchanges as modified from time to time.

I / We confirm that you have agreed to enter order in commodity forward contracts / commodity derivatives for me / us as your clients on Commodity Exchanges only on the basis of our above assurances and undertaking.

I/We further undertake to bear any liable/penalty/charges levied by Commodity Exchanges / SEBI.

☒ **B. CONSENT TO INSTRUCTION TO MAINTAIN RUNNING ACCOUNT (VOLUNTARY)**

I / We request you to maintain my/our accounts for funds and securities on running accounts basis instead of 'bill to bill' settlement basis, unless I/we specifically request you for a payout of available free funds or securities in the account. You may settle the accounts at Monthly/Quarterly (as opted in the account opening form) or at such other intervals as SEBI/ Exchanges may specify from time to time. I / We further authorize you to retain securities and/or funds as may be permitted by Exchanges/SEBI from time to time or towards other unbilled services and/or charges applicable on my account, while settling the accounts. I/We further authorize you to also retain an amount of up to Rs. 10,000/- (Ten Thousand Only) or any other sum as may be permitted by SEBI / Exchanges from time to time, while settling my / our account. I / We understand and agree that no interest will be payable on the amount of funds retained by you as above. I / We agree that Angel shall not be liable for any claim for loss or loss of profit or for any consequential, incidental, special or exemplary damages, or otherwise, caused by retention of such securities/funds. The standing instruction/authorization for maintaining my/our account as running account shall remain valid until revoked in writing, addressed to you.

Open Interest (OI) Position

- Number of contracts or positions outstanding in futures and options on an exchange.
- Investor must comply with all Regulations, Circulars, Notices, etc., issued by SEBI and Stock Exchanges with regard to OI.

Running Account

- Settlement of funds and / or securities is done within one working day of the pay-out, unless client specifically authorizes the Stock Broker in writing to maintain a running account.
- Clients whose funds and securities are maintained on a running account basis have to be settled by members on a monthly / quarterly basis as per the client mandate.
- Members should ensure that there is a gap of maximum 30/ 90 days (as per the client mandate) between two running account settlements.

Quarterly Settlement/Running Account Settlement

- SEBI mandates stockbrokers to settle (transfer available credit balance from Trading account to Bank account) the client's funds lying in the trading accounts at least once in a quarter (90 days) or 30 days.
- This process of transferring unused funds back is called 'Running Account Settlement' or 'Quarterly Settlement of funds'.
- The funds are transferred back to the primary bank account mapped to your Brokers account.
- Recently, SEBI made changes in the way funds are settled, mandating that all brokers transfer back funds to the client's account in 3 days if there have been no trades in the client's account for a period of 30 days.
- This is despite the client having chosen the '90-day' settlement cycle. This means that if you haven't traded continuously for 30 days in any segment, the funds will be transferred back to your account in the next 3 days.

TEST YOUR UNDERSTANDING

Q. Do you generally based your investment on (Tick whatever is applicable)

- Trusted Advisors advice
- Hot Investment Tips
- Favorite investment program on TV
- Neighbors & friends say
- Your own research
- Returns assured by the brokers
- others who may have profited from their investment decisions

INVESTING DUE DILIGENCE - EQUITIES

Why Due Diligence?

- Investment without analysis is like driving on a highway blindfolded.
 - Pro active approach enabling investors to know about prospective investment.
 - Better understanding about the past performance.
 - Greater possibility of securing future growth of the investment.
-

What questions to ask before investing?

- Is the company's revenue increasing?
 - Is the company actually making a profit?
 - Is the company able to repay its debts?
 - Is the company in a position strong enough to compete with its peers?
-

INVESTING DUE DILIGENCE - DERIVATIVES

Keep a check about
the Market Risks

Be careful if you
wish to write or sell
Option. Its Risky

Keep a watch over
your Margins

Time your trades after
due analysis of the
Market situations

SOURCE OF DUE DILIGENCE

Stock
Exchange
Website

Company
Website

Industry
Research

Newspapers
Magazines

Social Media

TEST YOUR UNDERSTANDING

Q. Which of the following is not advisable while investing in securities market?

- always Dealing in Cash
- consult with a SEBI registered Investment Advisor
- keep record of all documents signed
- regular check running account

YOUR RESPONSIBILITIES

- Examine & review your trading account periodically.
- Don't keep idle funds & securities lying with your broker.
- Insist on regular settlement of your account.
- Don't give any instruction to your broker for not settling your trading account.
- You can revoke your running account authorization any time and opt for Bill to Bill settlement.

RIGHTS OF INVESTORS

- Get Unique Client Code (UCC) allotted
- Get a copy of KYC and other documents executed
- Get trades executed in only his/her UCC
- Place order on meeting the norms agreed to with the Member
- Get best price
- Contract note for trades executed
- Details of charges levied
- Receive funds and securities on time
- Receive statement of accounts from trading member
- Ask for settlement of accounts
- Account should be settled as per the specified periodic dates

COMPLAIN PROCESS

- SCORES platform: <https://scores.gov.in>
- Online platform for investors to lodge their complaints related to securities market.
- Complaints against listed companies and SEBI registered intermediaries
- Status of every complaint:
 - Can be viewed online in the SCORES website
 - Can be obtained from toll free helpline
- Entity/Investor can seek/provide clarification on complaint online
- Unique complaint registration number for future reference and tracking.
- All complaints received by SEBI against listed companies and SEBI registered intermediaries are dealt through SCORES.

PROCESS TO RAISE COMPLAINT IN SCORE WEBPAGE

- Visit scores.gov.in/Registration.aspx to register as new user
- Here, user needs to give important personal information like name, e-mail, address, PAN no. etc.
- On successful registration, SCORE will send user id and password to registered e-mail id
- Go to login page <http://scores.gov.in> in left side of webpage enter USERNAME and PASSWORD provided by SCORE, then click “SIGN IN”.
- After successful login, in top left side user will get “COMPLAINT REGISTRATION”, “SEND REMINDER” & “VIEW COMPLAINT STATUS” option. Click on COMPLAINT REGISTRATION option to raise new complaint.

PROCESS TO RAISE COMPLAINT IN SCORE WEBPAGE

- Then Complaint Registration Form will open, where user needs to fill up personal details like name, address, mobile no. etc.
- In bottom part of Complaint Registration Form user should select category of complaints like Mutual fund, Depository participant listed companies, Broker etc.
- Once user selects the category, web page will ask for other details like type of complaint, name of mutual fund Company, descriptions of complaints etc. User can also upload supporting document up to 1MB. Then click submit.
- Then you will get complain registration number. (SMS and e-mail confirmation)
- User needs to wait for 30 days for the response.

MATTERS NOT CONSIDERED AS COMPLAINTS IN SCORES

- Complaint not pertaining to investment in securities market
- Anonymous Complaints (except whistleblower complaints)
- Incomplete or un-specific complaints
- Allegations without supporting documents
- Suggestions or seeking guidance/explanation
- Not satisfied with trading price of the shares of the companies
- Non-listing of shares of private offer
- Disputes arising out of private agreement with companies/intermediaries
- Matter involving fake/forged documents
- Complaints on matters not in SEBI purview
- Complaints about any unregistered/ un-regulated activity

NATURE OF COMPLAINTS RAISED BY INVESTORS

- Execution of Trades without Consent
- Non-Receipt of Funds / Securities
- Excess Brokerage Charged by Trading Member
- Non-Issuance of documents by the Trading member
- Non-receipt of Corporate Benefit (Dividend / Interest / Bonus)
- Service Related Issues by members
- Other Complaints (such as wrong order execution, non-execution, levying of other charges, penalty on margin shortfall etc.)

INVESTOR GRIEVANCE REDRESSAL – NSE

Have a Dispute?

Immediately question your TM about any transaction that you do not understand or you did not authorize your trading member.



Not satisfied with your trading member's response → Contact firm's branch manager or customer care.



Any dispute with trading member → Complain in writing to trading member.



Retain copies of your letter and all related correspondence done with trading member.

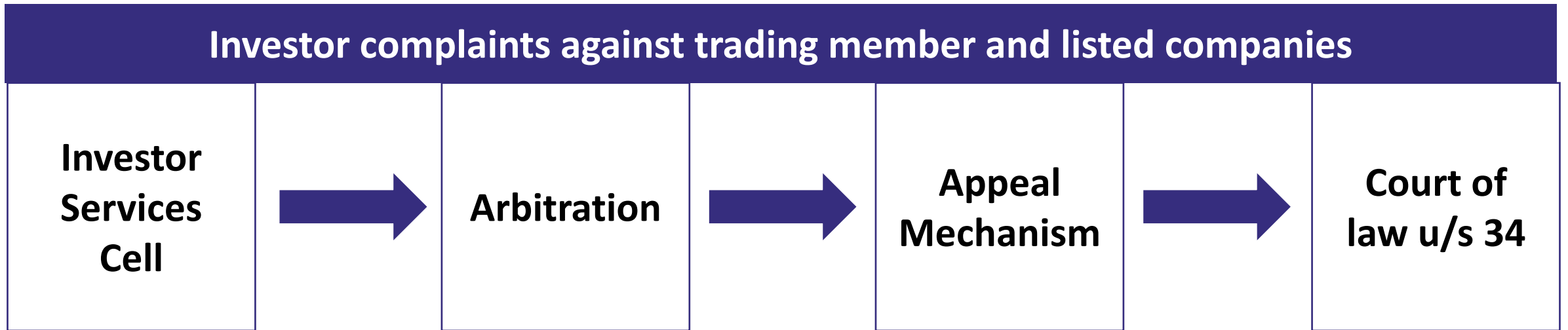


Complaint not addressed/ redressed by the trading member → File complaint with NSE

POINTS TO REMEMBER

- Documentation -Keep copies of KYC, application forms, account statements, contract notes, etc. along with all letters, emails, faxes, etc.
- Act quickly-Approach the concerned authority for your grievance quickly
- Seek assistance when in doubt

INVESTOR GRIEVANCE REDRESSAL - NSE



Complaints can be filed by Investor via:

- Online portal of the Exchange: www.nseindia.com
- SCORES portal of SEBI
- Email
- Physical letter at any Investor Service Centre of the Stock Exchange/ Depository
- Complaint can be filed by investor at the nearest Investor Service Centre (ISC)

TEST YOUR UNDERSTANDING

Q. Investor can file complaints at Exchange in the following ways

• Online portal of the Exchange	Yes	No
• Email	Yes	No
• Physical letter at any Investor Service Centre	Yes	No
• Complaint can be filed by investor at the Nearest Investor Service Centre (ISC)	Yes	No

REMEDY TO INVESTORS IN CASE OF BROKER – EXPULSION/ DEFAULT

- Defaulters' Committee:
 - Administer assets in respect of defaulters/expelled trading members.
 - Distributes amount available in defaulter's account to the admitted claims on pro-rata basis as per the priority laid out under NSE Rules / Regulations / Bye-Laws
- In case of insufficient funds in Defaulters' account →
 - Compensation is paid from Investor Protection Fund (IPF)
- Compensation up to maximum of ₹ 25 lakhs per investor subject to an overall limit per defaulter / expelled member

REMEDY TO INVESTORS IN CASE OF BROKER – EXPULSION/ DEFAULT

- Trading Member expelled/ declared as defaulter/expelled member
 - Exchange issues a Public Notice in leading newspapers.
 - List available on NSE website under: Home > Domestic Investors > Defaulters > Public Notice.
- Investors having claims against Defaulter/Expelled Trading Member:
 - Register claim within 3 months from date of Public Notice.
 - To register a claim against a defaulter/expelled Member: Visit www.nseindia.com website
 - Download form from below mentioned address: <https://www.nseindia.com/invest/details-to-be-provided-for-lodging-claims>

IMPORTANCE OF E-VOTING

- e-Voting is voting through an internet-based facility where shareholders can vote on resolutions proposed by companies as per extant rules and regulations without having the necessity of sending their votes through post.

Benefits to shareholders –

- Ability to take part in the decision-making process of the company from the comfort of their homes or offices.
- Can vote easily on the resolutions of all the companies in which they are a shareholder and eligible to vote.
- Chances of not receiving physical notices are eliminated.
- Ample time to vote till the last day.
- No scope for invalid votes.
- Elimination of risk of not receiving notice of Postal ballot.
- Count of votes will be accurate.
- The voting results can be declared immediately after the close of the voting.

CAUTION TO INVESTORS ON ALGORITHMIC TRADING

- Many unregulated platforms are offering investors Algorithmic Trading services/facilities to automate their trades
- Strategies are being marketed with “claims” of huge return on investment along with “ratings” assigned to the strategies and claims that similar returns would be earned in the future
- Investors are cautioned that these platforms are unregulated and thus there is no investor grievance redressal mechanism covering their activities
- Investors must be cautioned against dealing with such unregulated platforms and sharing any sensitive personal details with such platforms

BEST PRACTICES OF PRUDENT INVESTOR

- Deal only with SEBI registered intermediaries.
- Do not give any blank documents to DP/ stock broker. Strike off the fields which are not filled.
- Read carefully all the documents before signing.
- Should not submit incomplete KYC documents to DP/ stock broker.
- Provide correct email id & Mobile number for receiving timely alerts related to any transaction being carried out in your account.

- Make sure no email id is generated by the Stock Broker.
- Do not share user Id and password details of your accounts with anyone.
- Select the Segment and Stock Exchange on which you wish to trade.
- Do not trade on any tip-offs / SMS / Emails / Assured Return Schemes.
- Go through all the official SMS & Emails provided by the Stock Exchange and Stock Broker.
- Beware of unauthorized Stock Brokers.
- Beware of Fixed / assured returns.
- Don't Trade on the basis of Hot investment tips or unsolicited investment advice giving assured/ unrealistic returns.

- Keep a regular check of your running account and settle your account periodically.
- Examine and review transactions and holding details in your trading and demat account periodically.
- Transfer funds / securities only from registered Bank Account / Demat account.
- Power of Attorney (PoA) is not Mandatory. Further, you can cancel your POA anytime.

Reference : <https://www.nseindia.com/invest/first-time-investor-fraud-dos-and-donts>

THANK YOU